

THE EMPLOYEES' PENSION SCHEME – 1995

In replacement of the former Family Pension Scheme, the Employee's Pension Scheme 1995 has been brought into effect from 16/11/1995. According to new Scheme, out of 12% matching share contributed by the employer, 8.33% is diverted to Pension Scheme and remaining 3.67% share is credited to Provident Fund of the employee. Against the 8.33% contribution transferred to EPS, Employee is eligible to receive monthly pension for life and after his death, his family i.e. his widow plus 2 children below 25 years age, will receive monthly pension. If the employee is not qualifying for Pension, then employee is paid employer's share (8.33%) in the form of withdrawal benefit.

The salient features of the Employees' Pension Scheme are as under:

PENSION ENTITLEMENT:

- Pension is payable only after the Member has completed the required 10 years service (Past + after 16/11/95)
- Full pension is paid only after attaining the age of 58 years
- Reduced pension can be claimed after attaining 50 years age, after leaving the employment.
- When the pension is taken between 50-58 years of age, the original Pension otherwise payable on completion of 58 years age, gets reduced at the rate of 3% for each year the Pension is taken in advance of 58 years.

QUANTUM OF PENSION- FACTORS

- Period of FPF membership till 16/11/95.
- Period of EPS membership from 16/11/95
- Age on 15/11/95.
- Average Salary for last 12 months
- Age at which pension is being sought.

PENSION CALCULATION

Pension is calculated in two parts

- For the period of EPS membership from 16/11/95
- For the period of FP membership prior to 16/11/95

Total constitute amount of employee's pension

PENSION CALCULATION FORMULA

(a) Pensionable Salary (average salary for last 12 months) X Pensionable Service after 16/11/95

70
+

(b) Past Service benefit (prior to 16/11/95), depending upon the number of years of FP membership, salary as on 15/11/95 and age to complete 58 years from 16/11/95, factor is determined and then the amount is calculated. The minimum amount is Rs.80/- and the maximum amount is up to Rs.1596/-. This amount is added to amount as calculated as shown in (a) above.

COMMUTATION OF PENSION

1. Member can commute maximum 1/3 amount of pension. For e.g. if Pension amount is Rs.900/, the encashment can be maximum up to Rs.300/-.
2. After Commutation only the residue Pension amount is payable. In the above example, Rs.600/- will be paid as monthly Pension.

RETURN OF CAPITAL

Member can take 10 to 12.50% less Pension amount by way of return of capital and in lieu thereof get lump sum pension amount - 100 to 90 times of his original pension amount later- either to himself or after his death to his Nominee. Three Options as under are available to a member:

For example, if Original pension is Rs.500/- p.m., RC Options are as under

Option	Revised Pension payable	After death Pension is payable as under		
		WIDOW	CHILDREN	RETURN OF CAPITAL
1	90%	Normal Pension	Normal Pension	100 times to NOMINEE
Example	Rs.450	Rs.250/- (50% of Rs.500)	Rs.125 (25% of Rs.500)	Rs.50000
2	90%	80% of Original Pension	Normal Pension	Upon widows death, - 90 times of original pension amt, is payable to NOMINEE
Example	Rs.450/-	Rs.400/-	Rs.125 (25% of Rs.500)	Rs.45000
				(In case wife is not alive, RC is payable to the NOMINEE after the death of member.
3	87.5% for 20 years	Normal Pension	Normal pension	100 times of Original pension to the Member, if he survives beyond 20 years. If dies earlier, to the NOMINEE
Example	Rs.438/-	Rs.250/- (50% of Rs.500)	Rs.125 (25% of Rs.500)	Rs.50000/-

DISABLEMENT PENSION

A member is entitled to claim disablement pension if he is required to leave the service due to total and permanent disablement.

AMOUNT OF DISABILITY PENSION

The amount of Pension payable is as per normal pension.

WIDOW PENSION

Widow pension is payable in the following situation

Sr.	Situation when payable	Higher of the amount is payable		
		1	2	Minimum Specified
1	Member dies while in Service	Equal to Member's Pension	Amount as per Table " C"- Max. Rs.2051/- (Depending upon wages)	Rs.450/-
2	Member dies after Exit	Equal to members pension which would have been due, had member retired on his date of exit	Amount as per Table " C"- Max. Rs.2051/- (Depending upon wages)	Rs.250/-
3	Dies as a Pensioner	50% of Members pension	NA	Rs.250/-

CHILDREN PENSION

In case the member dies before while in service, after exit , being a pensioner, the widow/ nominee/ guardian as the case may be can claim child pension subject to following rules:

- Both, Sons and daughters, whether married or not are eligible to receive pension.
- Pension is paid to child up to completion of his 25 years age.
- Pension is payable to 2 children at a time-
- Pension starts in the order of- Eldest to Youngest child.
- Pension to Children is addition to Widow's Pension.

AMOUNT OF PENSION

- 25% amount of Widow's pension.
- Minimum Rs.115/- p.m, per child

NOMINEE PENSION

1. Where the member has opt for 'return of Capital', upon death of member/ widow, the lump sum payment of return of capital and or the monthly pension becomes due to employee's nominee.
2. Where employee dies, without leaving any family member eligible for pension, monthly pension is payable to employee's nominee.
3. No specific provision is made in EPS Scheme 1995 about nomination. Therefore Member may nominate any "person" to receive the benefits under above situation.

AMOUNT OF NOMINEE PENSION

The amount of Nominee pension is equal to Widow's pension.

Procedure of obtaining payment of Monthly pension:

- 1) The EPS member after attaining the age of 58 years or 50 years (while not in service) as the case may be, has to apply for Pension in Form 10-D and submit this form in duplicate, duly filled in and signed to the employer.
- 2) Claimant is required to open separate saving bank account in his own name (Jt. Account is not allowed) in the nationalized Bank as specified by PF Dept, and mention the name of the Bank, Account number, address of the bank etc, in Form 10-D.
- 3) Claimant is required to submit following documents to the employer along with Form 10-D
 - (a) Four copies of Jt. Photographs (Self and wife).
 - (b) Certificate from the family doctor indicating marks of Identification on body.
 - (c) Advance stamp receipt.
 - (d) Xerox copy of first page of the Bank pass book where the name, address and the bank account number is mentioned.
- 4) Employer after attaching all relevant documents and necessary certification forwards the form to PF office for processing the claim.

Other documents additionally attached:

Sr	In Claims of	Documents
1	Widow pension	Member's Death certificate
2	Child Pension	Member's Death certificate + Child's age certificate
3	Orphan Pension	Child's age certificate, Death certificate of father / mother
4	If Child/ Orphan is minor	Guardian certificate if the name of the guardian is not mentioned in Nomination form.
5	Disabled Pension	Medical certificate of the member for his total and permanent disability.
6	Nominee pension	Death certificate/s of member/ his spouse.